Staff College of India, Hyderabad, and other business management institutes were also availed of.

THE BANK AND ITS SUBSIDIARIES

The AIRCS had recommended the establishment of the SBI by the amalgamation of the Imperial Bank of India and certain State-associated banks. However, it took another five years for the implementation of the second step of the State Bank scheme. When the government pressed for an immediate take-over of the state-owned or state-associated banks in 1955, it was the RBI Governor, Rama Rau, who intervened to suggest that the new SBI should not be 'burdened' with the responsibility for integrating these banks at least 'for an initial and reasonably long period'. The government was finally convinced that the objective of bringing about an integrated banking structure, with an extensive network of offices all over the country, would be better served by constituting these banks into 'subsidiaries' (later 'associates') rather than amalgamating them with the SBI.

The State Bank of India (Subsidiary Banks) Bill, 1959, was introduced in Parliament on March 4, 1959, and passed by both Houses before receiving Presidential assent in September 1959. The Act vested the ownership of eight state-owned or state-associated banks in the SBI and enabled the latter to take them over as its subsidiaries. The State Bank of Hyderabad, already a subsidiary of the RBI, was taken over by the SBI on October 1, 1959. On January 1, 1960, four more banks became subsidiaries of the SBI, namely, the Bank of Indore, Bank of Bikaner, Bank of Travancore, and the Bank of Jaipur. These were followed by the Bank of Mysore on March 1, 1960, the Bank of Patiala on April 1, 1960, and the State Bank of Saurashtra on May 1, 1960. On January 1, 1963, the State Bank of Bikaner and the State Bank of Jaipur were amalgamated to form the present-day State Bank of Bikaner and Jaipur. The SBI and its subsidiaries constituted the public sector in banking till fourteen major banks were nationalized in July 1969.

Each of these subsidiaries functioned as autonomous institutions, retaining their individuality and independence in day-to-day operations, while functioning under the supervision and direction of the SBI. These banks also participated in the developmental activities initiated by the SBI such as branch expansion, provision of finance to small-scale industries,